

Global Luxury Goods: The case for Haute Joaillerie

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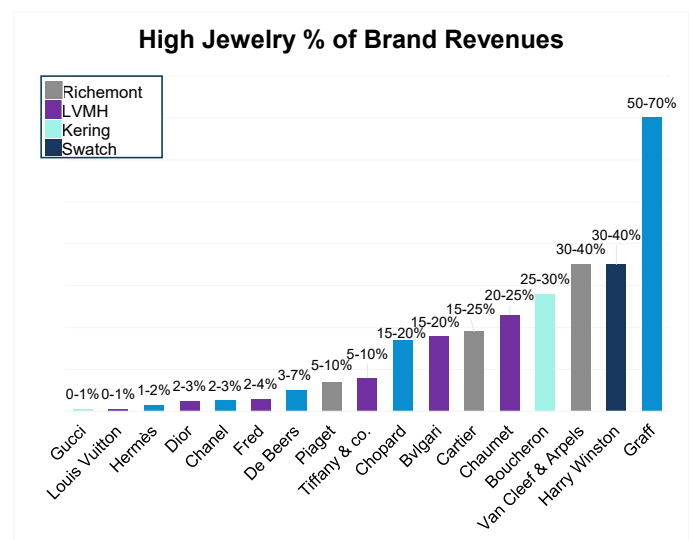
Richemont just blew both sell-side and buy-side expectations out of the water, with JM posting +24% organic growth in [1Q27E](#). We estimate ~20% of those sales come from high jewelry. And with AI driving multiple pockets of wealth creation and spend becoming more polarized, we anticipate growth will continue to skew toward VICs, and in turn, towards high jewelry ([Best of Times, Worst of Times: Global Luxury Goods - A Tale of Two Luxury Consumers](#)). Hence, we thought it timely to provide an intro into the category - for those who have yet to be invited to spend north of €1 million on exceptional gemstones during Paris Couture Week.

Haute Joaillerie is basically couture for jewelry and it behaves as such: very high ticket, low volume, strong halo. It is creativity without limits in terms of both design and price. For most brands it is used as a brand-building and client-acquisition tool more than a profit-driving activity, but this dynamic could change in the wake of VIC demand for more unique pieces at any cost. Industry leaders ([Chaumet's CEO](#) as an example) talk about exceptional high jewelry demand as resilient, with lower priced items (around the €150k mark) necessitating more innovation to tempt clients.

Luxury brands have taken notice: Gucci unveiled its first-ever high jewelry collection in 2019 and Hermès is doubling-down on the category by presenting the biggest collection since its launch in 2010, ahead of its Haute Couture debut in January 2027. Chanel hired Cartier veteran Marie-Laure Cérède as the director of its jewelry studio, effective October 2026 and Tiffany & co. remains committed to high jewelry as a pillar of their turnaround efforts - see their exhibitions in London 2022, Tokyo 2024 or Seoul 2025.

While the Place Vendôme jewelers became part of the official Haute Couture Week calendar in Paris in 2010, recent Haute Joaillerie events have also traveled to exclusive locations such as Lake Como (Dior), St Tropez (Cartier) or Venice (Chaumet, Dior), with an intimate group of VICs being flown in for each event. Markets such as Greater China, Southeast Asia and the Middle East have driven recent growth, with North America emerging as a region with serious potential, similar to other luxury categories.

EXHIBIT 1: Haute Joaillerie is basically couture for jewelry and it behaves as such: very high ticket, low volume, strong halo.



Source: Bernstein analysis & estimates

EXHIBIT 2: With AI driving multiple pockets of wealth creation and spend becoming more polarized, we anticipate growth will continue to skew toward VICs, and in turn, towards high jewelry, as has been the case over the past decade.

Cohort	People (# million)	Spend (EUR bn)	Spend / Capita (EUR k)	Change (%)	Change (EUR bn)
Top Tier Clients	0.6	236	393.3	+48%	+113
Top Absolute	1.8	48	26.7		
Entry Absolute	17	115	6.8		
Top Aspirational	22	60	2.7		
Other Aspirational	383	563	1.5	-20%	-113
TOTAL	424.4	1,022	2.4		

Source: BCG, Bernstein analysis

EXHIBIT 3: Despite enjoying seven-figure price tags, fine jewellery pieces are less profitable than their design counterparts.

'The higher the jewelry, the lower the margin. High high, high jewelry does not enjoy the same margins.' - Johann Rupert, Richemont Chairman, FY26 Conference Call

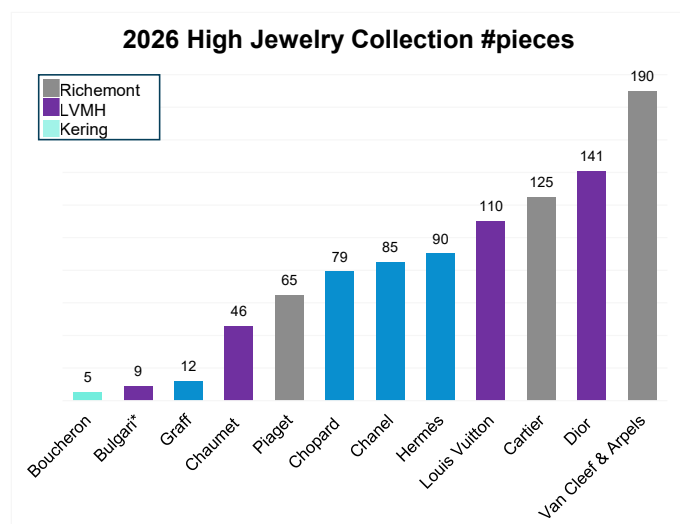
Source: Company earnings call

EXHIBIT 4: Due to its lower profitability and higher capital intensity, high jewelry is seen more as a brand-building and client-acquisition tool.

	Design Jewelry	High Jewelry
Driven by	Iconic designs	Rarity, craftsmanship, provenance
Exclusivity	Millions of pieces	Often one-of-a-kind
Materials	18k gold, platinum, silver, minimal gemstones.	Precious stones dominate, in gold or platinum settings.
Price per piece	€500-€10k	€100k - €1m+
GM%	70-80%	50-60%
EBIT%	40-50%	10-20%
Inventory turnover	<6 months	>1 year
Distribution	Stores (brick-and-mortar and online)	Bespoke clienteling, private viewings

Source: Bernstein analysis & estimates

EXHIBIT 5: Given each piece is unique, the total number of pieces presented in high jewelry collections varies significantly from brand to brand (and not all disclose it).



*Bulgari also unveiled an all-diamond capsule collection recently

Source: Company websites, Bernstein analysis

HERMÈS

EXHIBIT 6: The maison's ninth high jewellery collection 'Into the Horsescape' has an omnipresent motif: the horse, which is referenced through traces and symbols.



Source: Company website

CHANEL

EXHIBIT 7: The 'Signs & Symbols' collection is inspired by four of Gabrielle Chanel's founding emblems: Camellia, Star, Sun, Lion.



Source: Company website

RICHEMONT

Cartier

EXHIBIT 8: **At Cartier, hierarchy is set in stone: the gemstone comes first, the design second. 'Le Chœur des Pierres' collection necessitated more than 85,000 hours of work for more than 125 unique pieces.**



Source: Company website

Van Cleef & Arpels

EXHIBIT 9: **After four years of development, Van Cleef & Arpels presented 'Fascinating of Egypt', a collection inspired by Ancient Egypt without falling into orientalist clichés.**



Source: Company website

Piaget

EXHIBIT 10: **'Colours of Extraleganza' ends the maison's high jewelry trilogy with chromatic creations that evoke the free-spirited ambiance of the 1960s and 1970s.**



Source: Company website

LVMH

Louis Vuitton

EXHIBIT 11: **The Mythica isn't for the faint of heart, with statement pieces designed around Conquest, Fortitude, and Victory. The Victory ring took 1,900 hours of work totalling more than 19.71 carats of coloured and white diamonds.**



Source: Company website

Dior

EXHIBIT 12: **Creative Director Victoire de Castellane has led Dior Joaillerie since 1998. This signature playful collection eschews majestic stones in favour of delicate gemsetting in a high end equivalent of children's collages.**



Source: Company website

Bulgari

EXHIBIT 13: **Bulgari's 'Eclettica' is inspired by Art Deco's geometric forms, blending coloured gemstones and white diamonds in collars and sautoirs.**



Source: Company website

Tiffany & co.

EXHIBIT 14: **Tiffany's Blue Book 'Hidden Garden' collection is set across five chapters – Paradise Bird, Raffia, Petals, Blossom and Daisy – the collection celebrates flora and fauna through coloured stones, while revisiting Jean Schlumberger's iconic Bird on a Rock, first created in 1965.**



Source: Company website

Fred

EXHIBIT 15: **To mark its 90th anniversary, Fred unveiled the Soleil d'Or, a rare 105.54-carat emerald-cut yellow diamond, for the first time in its history. However, while the bib-style necklace onto which it is displayed is intended for sale, the diamond is not.**



Source: Company website

Chaumet

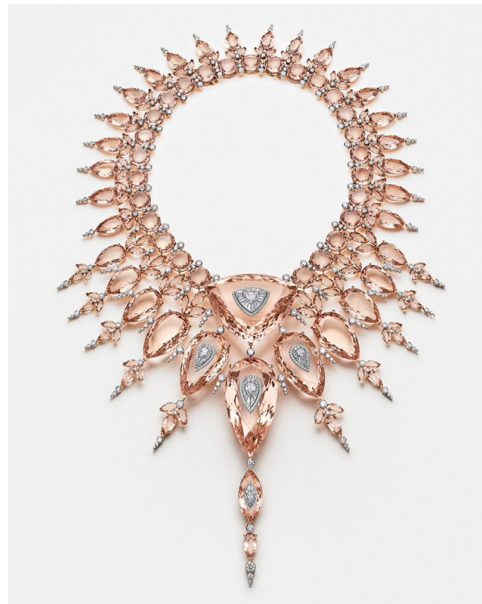
EXHIBIT 16: **With 'A Journey Through Nature,' Chaumet combines its 246-year-old naturalistic heritage with the world of spices. Themes include: vanilla, cinnamon, green tea, etc, with each piece taking more than 1,000 hours to make. Several creations reportedly sold before the official launch.**



Source: Company website

Boucheron

EXHIBIT 18: **The Carte Blanche 'Human Being' collection celebrates the irreplaceable human hand. More than 14,000 hours of work were required to create five exceptional artisanal techniques - a different one for each piece.**



Source: Company website

KERING

Gucci

EXHIBIT 17: **Gucci celebrates nature through four distinct design families based on the maison's historic symbols: Gucci Flora, the motif created in 1966 for Grace Kelly, Gucci Nodo introduced in the 1960s, the famous interlaced GG logo and finally the Horsebit and Marina Chain emblems.**



Source: Company website

GRAFF (PRIVATE)

EXHIBIT 19: **Graff reinterprets its iconic butterfly motif through twelve unique brooches. A house symbol since 1975, it inspired the metamorphosing designs, which can be turned into pendants.**



Source: Company website

CHOPARD (PRIVATE)

EXHIBIT 20: Chopard's Red Carpet collection 'Miracles' revolves around life's quiet wonders. The collection is produced in partnership with the Cannes Film Festival, of which Chopard is an official partner. There are as many pieces in the collection as there are years of the Festival.



Source: Company website

DE BEERS (OWNED BY ANGLO-AMERICAN, COVERED BY BOB BRACKETT)

EXHIBIT 21: 'The Talisman' collection is De Beers' signature high jewellery collection, highlighting the nature of the business as both a miner and a jeweller. Launched in 2005, it was the first high jewellery line to combine rough and polished diamonds.



Source: Company website

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	16 Jul 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
BIRK (Birkenstock)	M	USD	44.31	50.00	(27.5)%	EUR	1.85	2.01	2.49	20.9	19.2	15.5
BC.IM (Brunello Cucinelli)	O	EUR	83.64	108.00	(39.8)%	EUR	1.99	2.26	2.65	42.1	37.0	31.5
BRBY.LN (Burberry)	O	GBp	1,120.50	1,300.00	(26.4)%	GBP	0.24	0.39	0.55	45.9	28.8	20.4
CFR.SW (Richemont)	O	CHF	197.40	240.00	13.8%	EUR	5.96	8.07	9.33	35.8	26.4	22.9
ZGN	O	USD	14.43	14.00	54.7%	EUR	0.45	0.42	0.60	27.8	29.8	20.9
EL.FP (EssilorLuxottica)	M	EUR	169.50	185.00	(48.2)%	EUR	6.79	7.65	8.95	24.9	22.2	18.9
RMS.FP (Hermes)	O	EUR	1,706.00	2,150.00	(47.5)%	EUR	43.12	43.89	52.30	39.6	38.9	32.6
KER.FP (Kering)	M	EUR	255.40	220.00	15.4%	EUR	4.35	6.13	9.86	58.7	41.6	25.9
MC.FP (LVMH)	O	EUR	503.10	600.00	(12.2)%	EUR	22.73	22.22	26.71	22.1	22.6	18.8
MONC.IM (Moncler)	M	EUR	52.08	57.50	(14.8)%	EUR	2.31	2.44	2.64	22.5	21.3	19.7
1913.HK (Prada SpA)	O	HKD	40.96	45.00	(48.9)%	EUR	0.33	0.28	0.32	13.7	16.2	14.5
SFER.IM (Ferragamo)	O	EUR	10.59	8.80	93.6%	EUR	(0.30)	0.04	0.15	(35.9)	282.1	72.2
UHR.SW (Swatch)	M	CHF	207.90	200.00	33.6%	CHF	0.03	5.74	8.67	N/M	36.2	24.0
SPX			7,533.77									
EDME			1,598.24									
EMLSF			6,205.36									
ASIAx			1,921.27									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

BRBY.LN, CFR.SW base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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Underperform	SELL	13.1%	13.6%

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